As you know, the Reserve Bank of India was constituted 'to regulate the issue of Bank notes and the keeping of reserves with a view to securing monetary stability in India and generally to operate the currency and credit system of the country to its advantage'. Implicit in these words are the core purposes of the RBI: to foster monetary and financial stability conducive to sustainable economic growth, and to ensure the development of an efficient and inclusive financial system.

Note that the RBI is committed to getting the strongest growth possible for India – there is no difference between us and the finance ministry on this. We believe the best way we can foster sustainable growth in the current situation, other than through developing the financial sector, is through monetary stability – by bringing down inflation over a reasonable period of time. More specifically, we intend to bring CPI inflation down to 8 per cent by January 2015 and 6 per cent by January 2016.

There are a number of points here that need elaborating. First, are we choosing to tackle inflation at the expense of growth? Most people believe there is a short-run trade-off between growth and inflation. By raising interest rates, the RBI causes banks to raise rates and thus lowers demand; firms do not borrow as much to invest when rates are higher and individuals stop buying durable goods against credit and, instead, turn to save. Lower demand growth leads to a better match between demand and supply, and thus lower inflation for the goods being produced.

Relatedly, if lower rates generate higher demand and higher prices for goods, people may produce more of those goods, believing that they are getting more revenues. But because all goods are going up in price, high inflation reduces what they can buy out of the revenues. Following the saying, 'You can fool all the people some of the time',